

Bharti Airtel Limited & Ors vs Union Of India on 11 May, 2016

Author: Rajiv Sahai Endlaw

Bench: Rajiv Sahai Endlaw

* IN THE HIGH COURT OF DELHI AT NEW DELHI

Date of decision: 11th May, 2016

+ W.P.(C) No.6773/2013 & CM No.14692/2013 (for stay)

BHARTI AIRTEL LIMITED & ORS Petitioners

Through: Mr. Gopal Jain, Sr. Adv. with Mr. Harsh Kaushik,
Mr. Abhay Chattopadhyay and Ms. Chinmayee Chandra, Advs.

Versus

UNION OF INDIA Respondent

Through: Mr. Gaurav Sarin, Sr. Panel Counsel with Mr. Vidur Mohan,
Ms. Charul Sarin and Mr. Ajitesh K. Kir, Advs.

CORAM:- HON'BLE MR. JUSTICE RAJIV SAHAI ENDLAW

1. The petition (i) impugns the decision dated 26th December, 2012 of the respondent Department of Telecommunications (DoT) of the Union of India (UOI) refusing to refund the amount deposited by the petitioner no.1 Bharti Airtel Ltd. (petitioners no.2 and 3 are its shareholders and the word "petitioner" hereafter will mean Bharti Airtel Ltd. only); ii) seeks a direction to the respondent UOI to comply with the understanding and obligations recorded in the petitioner's letters dated 1st August, 2001, 6th November, 2012 and 10th December, 2012; iii) seeks mandamus directing the respondent UOI to refund the sum of Rs.399.92 crores to the petitioner; iv) seeks mandamus directing the respondent UOI to also pay interest on the said amount of Rs.399.92 crores i.e. a total sum of Rs.2495.87 crores to the petitioners with future interest till the date of refund; and, v) alternatively seeks permission for the petitioner to adjust the amount so refundable by the respondent in the future licence fee payments due to the respondent UOI from the petitioner.

2. Notice of the petition was issued and a counter affidavit has been filed by the respondent UOI and to which a rejoinder has been filed by the petitioner. The counsels were heard on 8th October, 2015 and 4th November, 2015 when judgment was reserved.

3. It is the case of the petitioner:

(i) that the petitioner was granted a licence dated 26th December, 1995 under Section 4(1)(b) of the Telegraph Act, 1885, to establish, maintain and work telegraph in the Punjab Telecom Circle;

(ii) that for reasons attributable to the respondent UOI, the licence of the petitioner was de-facto suspended from 18th April, 1996 to 10th March, 1998;

(iii) that the petitioner thus did not pay the licence fee payable by it for the period 18th April, 1996 to 10th March, 1998;

(iv) that the respondent UOI however insisted upon payment of licence fee for the aforesaid period together with interest and penal interest thereon and upon non payment thereof by the petitioner, terminated the said licence on 15th July, 1999;

(v) that though the petitioner represented to the respondent UOI to refer the dispute aforesaid to arbitration in accordance with the terms therefor in the licence, but to no avail.